

# Payroll & Compensation Policy

Document Code: HR-POL-03 | Effective Date: 1 January 2026 | Applies to: All full-time employees, NovaWorks Technologies Pvt. Ltd.

**SAMPLE / PLACEHOLDER DOCUMENT** — generated for building and testing the RAG (policy Q&A) module of the Agentic HRMS project. Replace with your organization's real policy documents before using this for anything beyond development.

## 1. Purpose

This policy explains how and when employees are paid, how salary is structured, and how changes such as increments, deductions, and reimbursements are processed.

## 2. Pay Cycle

Salaries are processed monthly and credited by the last working day of each month. If the last working day falls on a public holiday or weekend, salary is credited on the preceding working day.

## 3. Salary Structure

- Basic Pay: 40% of CTC (Cost to Company).
- House Rent Allowance (HRA): 20% of CTC.
- Special Allowance: balancing component of CTC.
- Provident Fund: 12% of Basic Pay, matched by employer contribution.
- Performance Bonus: variable, paid annually, tied to the performance rating cycle.

## 4. Increments & Promotions

Annual increments are reviewed each April, based on the prior year's performance rating and market benchmarking. Off-cycle increments require a documented business case approved by the department head and HR Business Partner.

## 5. Deductions

Standard deductions include Provident Fund, Professional Tax (where applicable), and Income Tax as per the employee's declared tax regime. Unapproved absences beyond the available leave balance are deducted on a per-day basis at gross salary / 30.

## 6. Reimbursements

Travel, internet, and approved training expenses are reimbursed within 15 working days of submission with valid bills, through the finance portal.